Thesis: The Architectural Argument

Front Matter, Chapter 6/12 — Revision & Viva-Prep Cheatsheet (English + Roman Urdu)
Source: agentfactory.panaversity.org/docs/thesis

EN: The most valuable companies of the AI era won't sell software -- they'll manufacture AI employees (Digital FTEs). 'The Factory builds the Company; the Company employs Workers; the Workers run against the system of record.' This is the book's most important page -- core vocabulary everything else stands on.
Roman Urdu: AI era ki sabse valuable companies software nahi bechengi -- woh AI employees (Digital FTEs) manufacture karengi. 'The Factory Company banati hai; Company Workers employ karti hai; Workers system of record ke against chalte hain.' Yeh book ka sabse zaroori page hai -- core vocabulary jis par baqi sab khara hai.

1. Agents as Economic Actors

- AI employees jald khud services/compute/data khareedengi -- yeh ek company CATEGORY hai, tool category nahi.
- **4 live payment protocols (2025-26):** ACP (OpenAI+Stripe), AP2 (Google, signed mandates), x402 (Coinbase crypto-native), MPP (Stripe/Tempo, per-second micropayments).
- **Vocabulary:** Agent Factory = process, AI-Native Company = output, AI Workers = workforce, System of Record = substrate.

2. Paradigm Shift + Production Engine

- SaaS Era (Tools, Per-Seat, Manual) vs Agent Factory Era (AI Employees, Per-Outcome, Automated). PwC: 56% of CEOs report no financial return from AI -- bottleneck is the company, not capability.
- **Industrialized Stack:** Intent -> Production Engine -> Outcome (car-factory analogy: specs, skills, feedback loops power the engine).

3. 10-80-10 Rule + Two-Layer Model

- **10-80-10 Rule** (Steve Jobs): 10% Intent (human spec), 80% Execution (AI Workers), 10% Verification (human review). AI doesn't replace humans, it PROMOTES them -- operator to supervisor.
- **Two-Layer Model:** Edge Layer (personal identic agents) + AI Workforce Layer (role-based AI Workers) -- neither works alone.

4. Seven Invariants (the backbone)

- 1. Human is the principal. 2. Every human needs a delegate (personal agent). 3. The workforce needs a management layer (Paperclip). 4. Each Worker picks its own engine.
- 5. Every Worker runs against a system of record. 6. The workforce is expandable under policy (hiring as a callable capability). 7. The workforce runs on a nervous system (events/durability).
- Durability matters: a 6-step Worker at 95% per-step reliability completes only 74% without durability, ~99.7% with it.

Key Terms Cheatsheet

One line each — English + Roman Urdu.

Term	English	Roman Urdu
Agent Factory	The spec-driven, human-supervised process -- a category of company, not a tool.	Spec-driven, human-supervised process -- company category hai, tool nahi.
AI-Native Company	The output of the Agent Factory process -- a company run on AI Workers.	Agent Factory process ka output -- company jo AI Workers par chalti hai.
10-80-10 Rule	10% intent, 80% execution, 10% verification.	10% intent, 80% execution, 10% verification.
Two-Layer Model	Edge Layer (personal agents) + AI Workforce Layer (role-based Workers).	Edge Layer (personal agents) + AI Workforce Layer (role-based Workers).
Seven Invariants	The 7 structural rules that stay true across any reference implementation.	7 structural rules jo kisi bhi reference implementation mein sach rehte hain.
Invariant vs reference implementation	What stays true in every version vs. today's concrete product realizing it.	Jo har version mein sach rehta vs aaj ka concrete product jo usay realize karta.

Viva Prep -- Representative Q&A;

#	Scenario Gist	Answer	One-line Reasoning
1	What's the core thesis of the book?	**AI era's most valuable companies manufacture AI employees, not sell software**	'You hire these companies, you don't buy from them' -- it's a company category, not a tool category.
2	How does the Agent Factory era differ from the SaaS era?	**Per-outcome AI employees vs per-seat manual tools**	Business change, not tech change -- PwC: 56% of CEOs see no return because the bottleneck is company readiness, not AI capability.
3	What's the 10-80-10 Rule?	**10% human intent, 80% AI execution, 10% human verification**	Cursor: 35% of PRs from autonomous agents (Feb 2026); Anthropic's Claude Code writes ~100% of its own code now.
4	What does AI do to human roles, per this chapter?	**Promotes them -- operator to supervisor, typist to editor**	It doesn't replace humans, it moves them up a level of abstraction.
5	Why can't the Two-Layer Model work with just one layer?	**Personal agents without a workforce are commander-less; a workforce without personal agents pushes humans back into manual orchestration**	Both layers are load-bearing -- neither functions alone.
6	What happens to a 6-step Worker at 95% per-step reliability without durability?	**Only 74% of full runs complete**	With a durability layer (events/recovery), that same Worker reaches ~99.7% completion.

Where This Leads / Sources

Leads to: every other chapter (this is foundational vocabulary). Full 48-Q scenario quiz on the live book page.

Source: docs/thesis/ (this repo), content originally via Zia Tutor AI connector.